Granton

FUNDRAISING

How to decide between bootstrapping and raising

Five things to weigh before you pitch

Swipe →

01

Start with the business model

Some businesses can fund growth from customers. Others need money upfront before any revenue appears. That alone often decides it.

02

Understand what you give up

Investors take a share of the company and often a say in decisions. Bootstrapping keeps both, but growth is usually slower.

03

Match the money to the goal

Investors back businesses that can grow very large. A steady, profitable business may suit your own funds or a loan better.

04

Count the time cost

Raising takes months of meetings and follow-up. That is time away from customers and product.

05

Consider non-dilutive options

Grants and other funding that do not take equity are worth checking before you sell part of the company.

Granton

Pass it on

Share it with a founder deciding how to fund the next stage.